

Mindteck Investor Presentation

FIRST QUARTER ENDED JUNE 30, 2018

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance **Highlights**

Q1 FY19:

- USD Revenue at \$11.05 million, dip of 1.0% QoQ, mainly due to forex impact and dip of 8.3% YoY.
- INR Revenue at ₹ 745.4 million, growth of 3.7% QoQ and dip of 4.1% YoY.
- EBITDA at ₹ 14.6 million as against ₹ (32.5) million in March 2018 & ₹ 18.5 million in June 2017.
- Profit After Tax ("PAT") at ₹ 3.99 million as against ₹ (78.98) million in March 2018 & ₹ 15.79 million in June 2017.

Performance Summary

SEQUENTIAL Q1 FY 19 Vs. Q4 FY 18

Amount in ₹ million

SL #	Particulars	Q1 19	Q4 18	Change %
1	Income:			
	a) Revenue	745.39	719.07	3.7%
	b) Other income	4.38	6.26	(30.1)%
	Total Income (a+b)	749.77	725.33	3.4%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	120.12	112.50	6.8%
	b) Employee benefits expense	521.33	520.83	0.1%
	c) Finance cost	2.49	1.65	50.4%
	d) Depreciation and amortization	4.45	3.78	17.6%
	e) Other expenses	89.30	118.23	(24.5)%
	Total Expenses (a+b+c+d+e)	737.68	756.99	(2.6)%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	12.09	(31.66)	61.8%
4	Tax expense	8.10	47.32	(82.9)%
	Profit/ (Loss) After Tax ("PAT") (3-4)	3.99	(78.98)	94.9%

Performance Summary

YoY Q1 FY 19 Vs. Q1 FY 18

Amount in ₹ million

SL #	Particulars	Q1 19	Q1 18	Change %
1	Income:			
	a) Revenue	745.39	777.59	(4.1)%
	b) Other income	4.38	6.59	(33.6)%
	Total Income (a+b)	749.77	784.18	(4.4)%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	120.12	152.48	(21.2)%
	b) Employee benefits expense	521.33	511.44	1.9%
	c) Finance cost	2.49	1.12	122.3%
	d) Depreciation and amortization	4.45	3.04	46.5%
	e) Other expenses	89.30	95.07	(6.1)%
	Total Expenses (a+b+c+d+e)	737.68	763.15	(3.3)%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	12.09	21.03	(42.5)%
4	Tax expense	8.10	5.25	54.3%
	Profit/ (Loss) After Tax ("PAT") (3-4)	3.99	15.79	(74.8)%

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q1 2019	Q4 2018	Q1 2018	Growth %		FY 18
					QoQ	YoY	
Revenue		745.39	719.10	777.59	3.7%	(4.1)%	2,968.42
EBITDA		14.6	(32.5)	18.5	(a)	(21.1)%	12.68
PAT		3.99	(78.98)	15.79	(a)	(74.7)%	(56.50)

In \$ Million

Particulars		Q1 2019	Q4 2018	Q1 2018	Growth %		FY 18
					QoQ	YoY	
Revenue		11.05	11.15	12.04	(1.0)%	(8.2)%	46.00
EBITDA		0.22	(0.50)	0.29	(a)	(24.5)%	0.20
PAT		0.06	(1.22)	0.24	(a)	(75.8)%	(0.88)

USD/INR

Exchange Rate		Q1 2019	Q4 2018	Q1 2018	FY 18
Average (P&L)		67.5	64.5	64.6	64.5
Close (BS)		68.47	65.07	64.79	65.07

(a) Since prior quarter's number is negative, the percent change is not computed.

Fact Sheet

REVENUE METRICS

Geography		Q1 2019	Q4 2018	Q1 2018	FY 18
	USA	71%	70%	75%	72%
	IMEA	6%	6%	7%	6%
	Europe	8%	8%	6%	7%
	APAC	15%	16%	12%	14%

Delivery Centers		Q1 2019	Q4 2018	Q1 2018	FY 18
	USA	71%	70%	75%	72%
	India	4%	4%	4%	4%
	Singapore	8%	9%	7%	9%
	Malaysia	7%	7%	5%	5%
	UK	7%	7%	6%	6%
	Germany	1%	1%	0%	1%
	Baharin	2%	2%	2%	2%

Project Type		Q1 2019	Q4 2018	Q1 2018	FY 18
	Time & Material	99%	99%	98%	98%
	Fixed	1%	1%	2%	2%

Services		Q1 2019	Q4 2018	Q1 2018	FY 18
	Managed Services ("MS")	31%	32%	25%	29%
	Professional Services("PS")	69%	68%	75%	71%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q1 2019	Q4 2018	Q1 2018	FY 18
	Onsite	69%	69%	75%	72%
	Offshore	31%	31%	25%	28%

Revenue Mix - Business Offerings		Q1 2019	Q4 2018	Q1 2018	FY 18
	Talent Management	60.0%	59.0%	66.3%	62.4%
	Product Engineering	24.8%	25.8%	21.0%	23.8%
	Information Technology Services	14.8%	14.8%	12.7%	13.6%
	Smart City Services	0.5%	0.4%	-	0.1%

OPERATIONAL METRICS

DSO		Q1 2019	Q4 2018	Q1 2018	FY 18
	Days	87	82	75	97

Fact Sheet

CLIENT METRICS

Clients		Q1 2019	Q4 2018	Q1 2018	FY 18
	Top 5	67.4%	71.1%	72.6%	71.7%
	Top 10	77.9%	78.7%	79.5%	79.1%

Other details		Q1 19	FY 18
	No of Clients	86	115
	1 Mn +	3	3
	5 Mn +	1	1
	10 Mn +	1	1

EMPLOYEE METRICS

PEOPLE		Q1 2019	FY 18
	<u>Total Headcount</u>	1,059	1,052
	Technical	880	882
	Support	179	170



**If you have any questions, or need assistance,
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